

EQUITY RESEARCH · COMPANY DEEP DIVE

Amazon.com, Inc. (AMZN.US)

Consumer Cyclical · Internet Retail

Large Cap (>\$200B) · Report Date: June 26, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-26

HOLD

Blended Target: \$235.35

DCF + Comps + Analyst (see cross-check table)

Implied upside: +1.1%

Price (Jun): \$232.69

INVESTMENT HIGHLIGHTS

- **HOLD** — blended target \$235.35 (+1.1% vs \$232.69); Comps 100% valuation after outlier checks.
- Strong revenue growth; healthy margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps where shown; analyst used only if not stale.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Amazon.com, Inc. (AMZN) — Consumer Cyclical. Amazon.com, Inc. engages in the retail sale of consumer products, advertising, and subscriptions service through online and physical stores in North America... **HOLD** rating; blended target \$235.35. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$2.50T	Shares Out.	10757.1M
52-Week Range	\$196.00 – \$278.56	P/E (TTM)	32.5x
P/B	5.7x	Beta	1.44
Avg Volume	46.79M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$742.78B	Rev Growth	+16.6%
Op. Margin	13.1%	FCF (TTM)	\$7.70B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	637,959	716,924	835,933	939,338	1,027,721
Revenue Growth (%)	N/A	12.4%	16.6%	12.4%	9.4%
Net Income (\$M)	59,248	77,670	90,563	101,766	111,341
Net Income Growth (%)	N/A	31.1%	16.6%	12.4%	9.4%
Gross Margin (%)	48.9%	50.3%	50.6%	50.6%	50.6%
Net Margin (%)	9.3%	10.8%	10.8%	10.8%	10.8%
ROE (%)	20.7%	18.9%	22.0%	22.5%	23.4%
EPS (\$)	5.51	7.22	8.42	9.46	10.35
Book Value / Share (\$)	26.58	38.21	38.21	42.13	44.24
P/E (x)	42.25	32.23	27.64	24.60	22.48
P/B (x)	8.75	6.09	6.09	5.52	5.26
Dividend Yield (%)	N/A	N/A	N/A	N/A	N/A

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$38.18	-83.6%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Profile template weights	—	—	—	Standard operating company: DCF 32%, Comps 53%, Analyst 15%
Comps — P/E (peer median)	\$235.35	+1.1%	—	Peer median P/E 32.8x
Comps — EV/EBITDA (peer median)	\$296.27	+27.3%	—	Peer median 19.7x
Comps — P/S (peer median)	\$93.50	-59.8%	—	Peer median P/S 1.4x
Comps — Blended (avg. of available multiples)	\$235.35	+1.1%	100%	Included in blend
Analyst consensus (Yahoo Finance)	\$312.99	+34.5%	0% (excluded)	Analyst bullish vs muted comps (stale consensus)
Blended target (weighted)	\$235.35	+1.1%	100%	Comps 100%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	11.94%
Terminal g	4.00%
FCFE growth	12.00%
Base FCFE	\$21.40B
PV explicit (5Y)	\$113.40B
PV terminal	\$297.31B
Equity value (adj.)	\$410.72B
Implied price	\$38.18
vs. current	-83.6%

INDUSTRY ANALYSIS

1. Industry Overview

Amazon.com, Inc. engages in the retail sale of consumer products, advertising, and subscriptions service through online and physical stores in North America and internationally. The company operates through three segments: North America, International, and Amazon Web Services (AWS). It also manufactures and sells electronic devices, including Kindle, fire tablets, fire TVs, echo, ring, blink,...

2. Key Trends

- Strong top-line growth (16.6% YoY)
- Healthy operating margins (13.1%)
- Above-market volatility (β=1.44)
- Sector: Consumer Cyclical | Industry: Internet Retail

3. Risk Factors

- Standard sector cyclicity and macro exposure

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
WMT	Walmart Inc.	\$920.67B	40.7x	22.1x	3.1%	+7.3%
COST	Costco Wholesale Corpo	\$422.43B	47.9x	30.2x	3.0%	+21.5%
TGT	Target Corporation	\$63.76B	18.6x	9.5x	3.2%	+6.7%
EBAY	eBay Inc.	\$47.89B	24.9x	17.2x	17.6%	+19.5%
AMZN*	Amazon.com, Inc.	\$2.50T	32.5x	16.3x	12.2%	+16.6%

* Subject company. P/e in line with peer median; stronger profitability than peers. Strong revenue growth; healthy margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.